

income has tended to be higher in those States where a larger proportion of population is engaged in tertiary occupations.

- 2) Location pattern of industrial growth in the past had been influenced by the early pattern of railway construction. These centres of industrial location, therefore, in conformity with Gunnar Myrdal's thesis, have attracted a considerable portion of industrialisation towards themselves because of conglomeration economies.
- 3) Historically, the developed states have had relatively more efficient systems of governance in terms of skills, responsiveness, and quality of delivery systems. Unlike capital – which is highly mobile across regions and continents – good governance cannot be transplanted in an area, as it evolves basically within the prevailing socio-political structure over a long period. An outmoded social structure can never bring about or sustain good governance in the modern sense. On the contrary, it can frustrate exogenous attempts at good governance by its debilitating and corrupting influence.
- 4) A related historical factor has been the development of infrastructure. The better developed regions owe it to their inbuilt infrastructure dating back to the time when they were still princely states. In other regions the princely states did not pay much attention to the development, priding themselves on being messengers of God or something believing they were born to rule.
- 5) Similarly, in more recent times, there has been substantial decline in the government's budgetary support for financing infrastructure. Developed states and, especially large cities and towns have been the major destinations for domestic institutional funds as well as external assistance.
- 6) Operations of the term-lending institutions as also the commercial banks have also shown a distinct tendency towards concentration of investments in the relatively more developed States.

Subsidised lending by banks for financing priority credit and refinancing facilities given by financial institutions have helped the richer states to gain greater access to investible funds at subsidised rates.

Likewise, the approach of full cost recovery for urban basic services and strict financial discipline on state governments by the RBI has resulted in the further concentration of funds in the developed states and larger cities.

- 7) There exist glaring regional imbalance and disparity among different states in the country in the provision of educational and training facilities, specially the technical education.
- 8) Operations of the system of public finance in the country have also contributed to the creation and aggravation of inter-State disparities.

- In the low income States, the level of public investment, infrastructural growth and standard of administrative services are lower compared to those in the high income States, thus perpetuating disparities.
 - The system of sales taxation enabled the richer states to export a significant portion of their tax burden to the residents of poor states.
 - Subsidised lending to the states from the Central Government has led to regressive inter-governmental transfers.
- 9) With increasing globalisation, India has chosen a skill-intensive path to growth; wages for skilled labour are already being bid up. In this situation, it is necessary for firms to have scale to ensure the proper use of scarce skilled labour. But it is only in the fast-growing state that the environment and infrastructure exist for scale. This further identifies disparities.
- 10) In the pre-reform period, the public sector had played a crucial role in maintaining regional equality by directing resources to backward areas. With a change in the focus of the public sector following the reforms, this process has become weaker.

The economic reforms gave greater freedom and impetus to the private sector and export-oriented production. These sectors, which were attempting to reduce costs and become competitive, were attracted to areas that were relatively more developed. As a result, investment and activity shifted to these areas, strengthening the forces of divergence.

In short, the richer states are rich because of relatively developed infrastructure and higher infrastructure spending. A positive significant correlation is observed between infrastructure and real per capita gross state domestic product across states.

24.8 MEASURES TO REMOVE REGIONAL DISPARITIES

The Convergence Theorem postulates that when the growth rate of an economy accelerates, initially some regions with better resources would grow faster than others. But after some time when the law of diminishing marginal return sets in, first growth rates would converge, due to differential marginal productivity of capital (higher in poorer regions and lower in richer regions), and this in turn would bridge the gaps in the level of income across regions.

However, in India, as brought out above, there is no conclusive evidence of convergence so far.

The various programmes undertaken to remove/reduce regional disparities can be identified as follows:

- 1) **Resource Transfers from the Centre to the States, Weighed in Favour of Backward States:** The resource transfers, take place via the Finance Commission in the form of plan and non-plan transfers. The

location of Central projects and Centrally-sponsored schemes are determined in the planning process by the NITI Aayog in collaboration with the relevant wings of the Government. A good initiative taken by Government of India to develop backward area is the 'Aspirational Districts Programmes' (ADP). The ADP are those districts which are affected by poor socio-economic indicators. The improvement of these districts can lead to a overall improvement in human development in India. A total of 115 districts were identified from 28 states, at least one from each state. In this initiative all the ministries have assumed the responsibility to drive the progress of the identified districts. The development is being monitored by the real time progress through updating the database of development indicators. The five areas in which development taken place are Health and Nutrition, Education, Agriculture and Water Resources, Financial Inclusion and Skill Development, and Basic Infrastructure. The broad contours of the programme are convergence, collaboration and competition.

- 2) **Priority given to Programmes which spread over the entire Area within the Shortest Possible Time:** Programmes of agriculture, community development, irrigation and power, transport and communications and social services have the widest coverage, and aim at providing basic facilities and services to people in all the regions. Since, these programmes are included in State plans, it is largely through the shape given to State plans and the changes through which they pass in the course of the plan period that the benefits of development are carried to every part of the country.
- 3) **Provision of Facilities in Areas which Lag Behind Industrially:** River valley projects form the most important segment in the plans of several States and large investments have been made in multi-purpose projects. These and other projects are essential for the development of vast regions in the country, some of which suffer from scarcity or unemployment or are otherwise poorly developed. The implementation of agricultural production and community development programmes, and of education and health schemes also carries the benefits of development to the remotest areas.
- 4) **Programmes for the Expansion of Village and Small Industries:** Village and small industries are spread all over the country and various forms of assistance provided by the Central and State Governments are made available in the areas according to programmes which are undertaken. Industrial estates have been set up in all States, and increasingly, they are being located in smaller towns and rural areas.
- 5) **Diffusion of Industrial Activity:** In the location of public sector projects, the claims of relatively backward areas have been kept in view wherever this could be done without giving up essential technical and economic criteria. The location of several important projects has been determined on the basis of expert study and on economic considerations. But as they are situated in areas which were hitherto industrially backward, the latter will benefit.

While in the selection of sites for basic capital and producer goods industries, proximity to raw materials and other economic considerations have naturally been important, it is felt that in a wide range of consumer goods and processing industries, it is possible to foster a regional pattern of development.

To some extent, the development of new processes and new uses of raw materials has assisted in the spread of industry. In encouraging such development, care has of course to be taken to ensure that a balance is maintained between regional distribution and considerations of economy in production.

6) **Schemes for Development of Backward Areas:** The present policy for the development of backward areas comprises a set of special schemes under which plan funds are provided over and above the funds allocated for general sectoral programmes. The special schemes can be classified as follows:

- **Schemes focusing on areas with special features** (the desert development programme, the drought-prone area programme, the command area development programme, the hill area development projects and sub-plans, the North Eastern Council set-up, and the tribal area sub-plans and tribal development agency projects). Also central assistance for special area programmes such as Hill Area Development Programme (HADP) and Western Ghats Development Programme (WGDP), Border Area Development Programme (BADP) are the targeted area development programmes.
- **Schemes focusing on target group** (small farmers' development agencies and the special component plan for Scheduled Castes).
- **Schemes providing incentives and concessions** for particular activities in backward areas (concessional finance from financial institutions, tax relief, investment subsidy, transport subsidy, and priority in raw material allocations and hire-purchase of machinery, for industries located in 246 backward district/areas, and relaxed viability and loan repayment terms for extensions of electricity by the Rural Electrification Corporation in backward areas).

24.8.1 Major Limitations

- 1) A great drawback of all schemes is that there is hardly any feedback about the actual physical progress of these schemes in the field. There is a widespread feeling that most of the plans are paper plans without techno-economic teeth and without a corresponding real action on the ground. Leakage of vast funds into the bureaucracy itself and/or the local oligarchy is also suspected.
- 2) Although the amounts of funds earmarked for area development schemes nominally appear to be large, the total development outlays per capita

available to less-developed areas remain small in comparison with those in the more developed regions.

- 3) The effects of industrial and transport subsidies remain unevaluated. But the scrappy evidence available suggests that subsidies have an inducement effect only if basic infrastructure is accessible.
- 4) There was no uniformity and consistency of norms for identification of backward areas from different States and Union Territories for either income tax concession or Central investment subsidy scheme and licensing. As a result, the existing procedures for selection of backward areas may have detracted from the potency of the provision in promoting the growth of regions and areas which were backward in all India perspective.

24.9 WAY FORWARD

A recent study on the subject suggests following measures, per se, for balanced regional development:

- 1) Investment in agriculture needs to be stepped up especially in the lagging regions. The backward and forward linkages of agriculture in poorer regions need to be emphasised more. Investment in water harvesting, soil conservation, rural roads, warehouses, processing activities and promotion of high value crops should be emphasised. Since agricultural growth is found to be different in different regions, steps to equalise it will certainly reduce the regional imbalances.
- 2) Service sector has been found to be the new driver of the growth process, the banking and insurance sector and infrastructure have contributed to acceleration of growth in many states. There is a need to promote these sectors, on priority, in backward regions.
- 3) Improvement in basic infrastructure facilities like power, transport, telecommunication, and irrigation in backward states is a precondition to improve the quality of life of people and to usher in sustainable development in them. Availability of assured power supply, developed transport system and modern telecommunication facilities are important factors to attract private investments in these states.
- 4) Devolution of financial Resources: The formulae according to which Centrally-collected resources are transferred to the States should be made steadily more progressive. The 14th Finance Commission considerably increased the devolution of tax from centre to states from 32 per cent to 42 percent. The different criteria followed for devolution of finance from centre to states are (a) population, (b) area, (c) income distribution, tax collection, (d) forest cover etc. Besides the taxes devolved to states, another source of transfers from the centre to states is grants-in-aid. As per the recommendations of the 14th Finance Commission, grants-in-aid constitute 12 per cent of the central transfers to states. The grant in aid

as recommended by 14th Finance Commission, are for three purposes such as: (i) disaster relief, (ii) local bodies, and (iii) revenue deficit.

Further, it needs to be pointed out that backward regions within states are not considered when Centre-State transfers are set. Moreover, it is not the fact or size of such transfers that affects poverty but how such transfers are used. In view of this, it is necessary that unit of resource allocation ought to be district rather than States, with highest priority given to the most backward districts. Here also instead of spreading the butter too thin by scattering funds and concessions all over the place, it could be more beneficial to concentrate on intensive resource deployment by identifying the priority investment areas on the basis of industrial backwardness.

- 5) Direct public sector investment by the Central Government in the states is likely to dry up gradually due to severe budget constraint of the Centre. Under the above circumstances, an important factor that influences the economic progress of a state is the quality of governance and the state level policy environment. A better administered state is more efficient in raising revenues and putting them to better use. They are the states, which will attract more investment both from domestic and foreign sources. Such states are also in a position to prepare viable projects and successfully bid central assistance or external funding. Hence, governance needs to be given immediate attention, especially in the backward states.
- 6) In the coming years, a key factor affecting choice of location in investment decision-making will be environmental policies of states. Global rules and agreements are creating demand for a coherent set of policies related to the environment, particularly for the extractive industries such as oil and metals. The states need to pay more attention to this aspect.

Ultimately, the key to balanced regional development lies not merely in increasing resource flows to backward regions but in creating an enabling environment to attract more resources, using them properly and assuring a fair deal to investors. The overall investment climate and governance need to be upgraded.

Check Your Progress 3

- 1) List the causes of regional disparities.

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- 2) State the role of term-lending institutions in narrowing down the regional disparities.

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- 3) What are some of the steps taken by Govt. of India towards removing regional disparities?

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24.10 LET US SUM UP

Regional disparity in India has been a major challenge for planners and policymakers. Despite a number of development programmes overtime, regional disparities have persisted. Regional disparities are observed in growth rates, per capita SDP, per capita consumption expenditure, sectoral contribution to GSDP, agricultural development, Industrial development, infrastructural development and also in human development outcomes. The important factors responsible for regional disparities are: variation in the occupational structure of workers, historical factors like variation in infrastructure development, decline in budgeting support for financing infrastructure, financial institutions, provision of education and training facilities etc. Various programmes have been launched towards removal of regional disparities. However, all these schemes and programmes have suffered from several limitations and a lot need to be done for ensuring balanced regional development.

24.11 TERM-END EXERCISES

- 1) In the context of regional disparity, what do you mean by multiplier accelerator mechanism? How will you examine the regional disparities of a country?
- 2) What do you mean by the term regional disparity? Examine the sectoral disparities in India.
- 3) Empirically examine the role of infrastructural development in explaining the regional imbalances in India.
- 4) Critically evaluate the various steps taken by Govt. of India towards removal of regional disparities. Which suggestions would you like to overcome the problem of regional imbalances?

24.12 KEYWORDS

- Regional Disparity** : ‘Regional disparity means divergence or inequality of characters, phenomena or processes having specific territorial allocation (can be allocated in defined territorial structure) and occurring at least in two entities of the territorial structure’.
- Backwash Effect and Spread Effect** : Once economic and social forces occur in favoured region development produce a state of disequilibrium. According to Myrdal once an economy obtains a growth advantage it will tend to keep it. The cumulative movements of labour, capital, and trade which tend to economically weaken region were termed backwash effects. The benefit of trade will accrue to the host region. The spread effect or positive externalities is that such a new growth stimulus might induce other region, such as increased demand for backward areas product, diffusion of technology and knowledge. However, the spread effects are weaker than backwash effect, and interregional differences remain widen.
- GDP and NDP** : Gross domestic product (GDP) refers to the market value of all final goods and services produced within a country in a given period. The net domestic product (NDP) equals the gross domestic product (GDP) minus depreciation on a country’s capital goods.
- The credit-deposit ratio** : The credit-deposit ratio is one of the most widely used banking indicators for analysing the role of banks in promoting productive sectors and contributing to economic growth. In a bank-based financial system, the CD ratio assumes greater significance as an aggregative measure for gauging the effectiveness of credit delivery system. Higher the CD ratio implies for greater credit orientation of banks.
- Human Development Index** : The Human Development Index (HDI) is a composite statistic used to rank countries by level of “human development”, taken as a synonym of the older term standard of living. This is a comparative measure of life expectancy, literacy, education and standards of living.

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